

Procure Space ETF

SPCX NASDAQ

Hold	\$109.42 ▼ 2.48%	12M Price Target \$120.00	52-Week Range \$107.01 – \$225.64	Market Cap \$1.44T
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SPCX: Space ETF Fading With Broader Sector Cooling

WHAT HAPPENED

- SPCX is down 2.5% today and about 6% off Tuesday's high — this looks like classic profit-taking after a run, not a fundamental hit. Notice the volume today (19M) is way lower than the up days earlier this week (60-80M) — that tells you conviction sellers aren't dumping, retail is just cooling off.
- The Motley Fool piece pitching space exposure "without buying SpaceX" is actually a mild positive for SPCX long-term (it's literally the pitch for this ETF), but short-term it may be reminding people that SpaceX itself remains private — so the "purity" of the space trade here is diluted.

WHY IT MATTERS

The setup here is mixed — Industrials (where most SPCX holdings live) are down 2% over 5 days, which means SPCX is bleeding along with the broader capital-goods complex, not because of anything space-specific. But here's what to watch: the options market is screaming near-term caution — 4,400 puts at the \$95 strike hit today at 2x open interest, meaning someone is paying real money to bet on a drop to \$95 within a month. That's a \$14 downside hedge, and it usually shows up before either an earnings scare in the underlying holdings or a macro flush. Translation: don't be a hero catching this knife until it stabilizes, but the long-term space thesis (government + commercial launch demand) is very much intact.

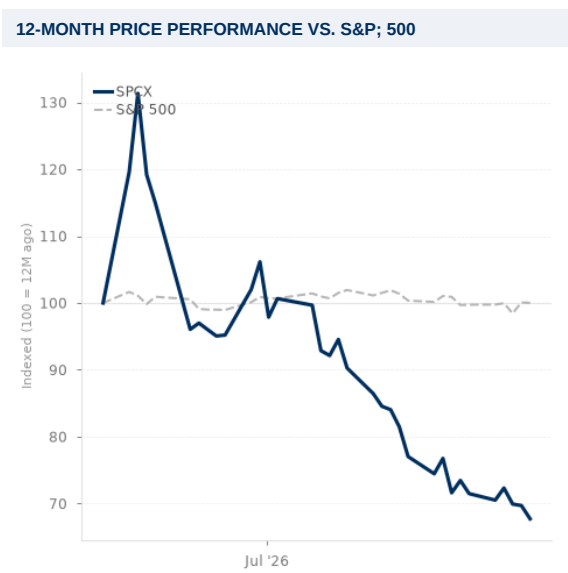
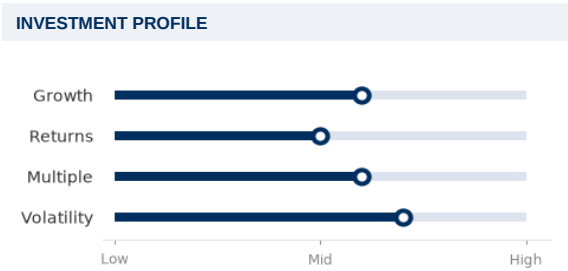
POLICY & POLITICAL WATCH

The big policy tailwind is the FY2027 NASA authorization and DoD Space Force budget, both currently working through appropriations — the Space Force budget request is around \$30B and rising, which directly funds the launch and satellite contractors inside SPCX (Rocket Lab, Iridium, Viasat, etc.). Watch the FCC's ongoing spectrum auctions and the ITU coordination on low-earth-orbit satellite constellations — friendly rulings expand the addressable market for satellite broadband names. The headwind risk: any continuing resolution or government shutdown fight in September/October delays contract awards, which would hit these small/mid-cap space names disproportionately hard.

IS IT EXPENSIVE?

SPCX is an ETF, so "valuation" means looking at the underlying basket — most holdings trade at 3-6x sales (investors paying \$3-6 for every \$1 of revenue), which is reasonable for a sector growing 15-20% annually but not cheap. The ETF is only 2% off its 52-week low of \$107, meaning almost all the froth is already out — you're not buying the top. Fair value in my base case is around \$120, so today's \$109 is a discount, but "cheap" only pays off if launch cadence and government contracts keep accelerating.

Key Data	
Price (USD)	\$109.42
12M Price Target	\$120.00
Upside / (Downside)	+9.7%
Market Cap	\$1.44T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$118.00	\$112.00	\$104.00
6 Months	\$135.00	\$120.00	\$98.00
1 Year	\$160.00	\$130.00	\$90.00
2 Years	\$200.00	\$155.00	\$85.00
5 Years	\$280.00	\$200.00	\$100.00
10 Years	\$450.00	\$300.00	\$120.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+2.87% today, +5.67% week) — money is rotating into consumer names, which usually signals risk-on but also that investors think the Fed is done tightening. That's a mild positive for growthy space names down the road.

COOLING OFF: Industrials, Utilities, and Energy are all red — this is the "old economy" complex getting sold, and SPCX rides with Industrials whether we like it or not.

ROTATION WATCH: Money is clearly flowing from defensives and industrials INTO discretionary and tech-adjacent growth. SPCX is caught in the middle — it's growth-flavored but classified industrial. If the rotation continues, SPCX underperforms for a few weeks.

RELATED PLAY: If space keeps grinding higher, the picks-and-shovels play is satellite components and ground infrastructure — think MAXR, IRDM, or the defense primes (LMT, NOC) which build the payloads.

WHO'S WINNING IN THIS SPACE?

- AMZN (Amazon): AWS strength in earnings reminds people that satellite broadband (Project Kuiper) is a real business — indirectly bullish for the space thesis.
- Consumer Disc broadly: Up nearly 3% today while SPCX is down — capital is choosing consumer growth over industrial growth right now.

SPCX CONTEXT: SPCX is lagging both the broader market and its "growth" cousins today, which tells me the space trade is in a digestion phase after a strong run. Not broken, just resting.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — Cautiously constructive long-term, but near-term the tape and the options flow are both flashing yellow, so I'm not pounding the table here.

POSITION SIZE: 2-4% of portfolio — this is a thematic satellite position (pun intended), not a core holding. The volatility is real and it's an ETF, so you're getting diversification within space but not across sectors.

ENTRY POINTS: I'd wait for \$105-108 which is right at the 52-week low support — if it holds there, that's your setup. If it breaks \$107, next stop is probably \$95 (where the smart put money is targeting).

TIME HORIZON: 12-24 months, with the catalyst being the FY2027 defense/NASA budget passage and continued launch cadence from Rocket Lab and others.

WHEN TO BAIL: If Congress cuts the Space Force budget meaningfully, or if we get a major launch failure at a top-3 holding, or if the ETF breaks decisively below \$95.

HEDGING: Simplest hedge is to pair this with a small short in XLI (industrials ETF) — that way you're betting on space specifically outperforming boring industrials, not just betting on the market going up.